



2023 Full Year Results Presentation



Overview

1. Macroeconomic Update
2. Sector Update
3. Operational Performance
4. Financial Overview
5. Key Focus Areas

Uganda Economic Update

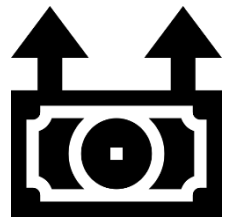
Macros in brief



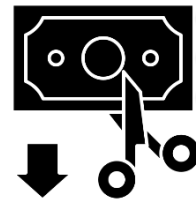
CBR raised to 10% in Mar 24 from 9.5% where it had been since Aug 23



Continued improvement in the level of economic activity, CIEA above 160 from Dec 23



Inflation rose to 3.4% in Feb 24. Upward trend expected to continue and stay above 5% target if not contained



UGX has been depreciating by 5% against the USD since Nov 2023 with a sharp decline in Feb 24.



Economic growth projected at 6% supported by strengthening activity in the oil sector and removal of Uganda from the grey list.

Sector Updates

- Generation Capacity - 1842 MW
- Transmission Projects – Completed in 2023
- Changes in regulatory regime
 - The Electricity (Supply of Electricity in Bulk to Specified Consumers) Regulations, 2022
 - The Electricity (Royalties) Regulations, 2022
 - The Electricity (Independent Power Transmission) Regulations, 2023
- Implementation of the accelerated connections program funded by the World Bank and Government of Uganda targeting 1 million customers over the next 3 years.
- Hybrid Financing Mechanism for Last Mile connections
- Implementation of Second Generation of Power Sector reforms



Transmission Projects – Grid Stability/Reliability

Transmission Lines

- 15km 132kV Namanve South –Luzira
- 75.5Km 132kV Karuma-Lira
- 67KM 132kV Kole-Gulu
- 83km, 132kV Gulu-Agago
- 23.5km 132kV Mutundwe-Entebbe
- Mbarara-Mirama –Shango line synchronization

Source: UETCL

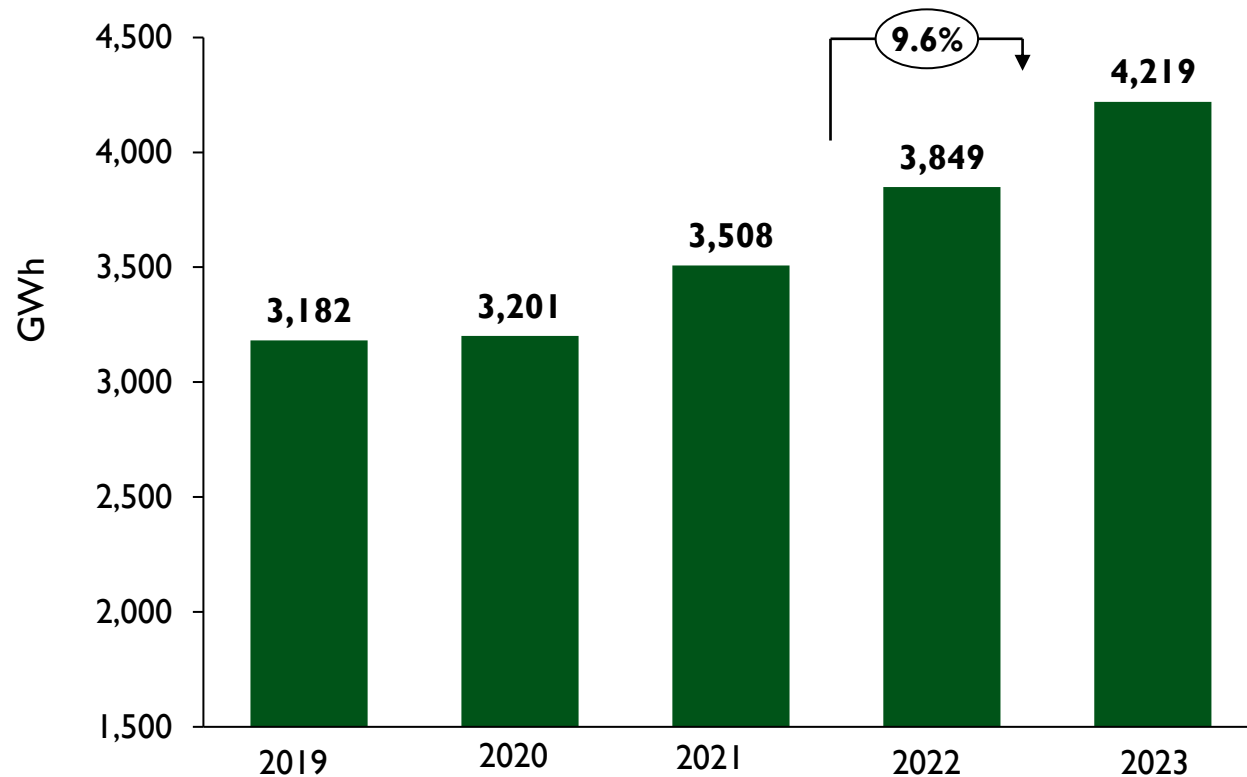


Sub Stations

- Gulu (2X40MVA 132/33kV)
- Kole (2X40MVA 132/33kV)
- Agago (2X40MVA 132/33kV)
- Entebbe (2X80MVA 132/33kV)
- Kasana (1X20MVA 132/33kV)
- Luzira (3x40MVA 132/33kV)

Growing Electricity Demand: +9.6 %

Sales GWh



- Electricity sales increased by 9.6% in 2023 compared to 2022.
- Increase driven by growth in customer grid connections, improved electricity supply reliability, reduction in energy losses and general economic growth
- For the last 3 year, sales increased by 32% from 2020 base
- We continue to observe similar growth trends in 2024
- Calls for urgency in accelerating investments in distribution, transmission and generation projects

Electricity Demand by Customer Category

Consumption per Customer Class

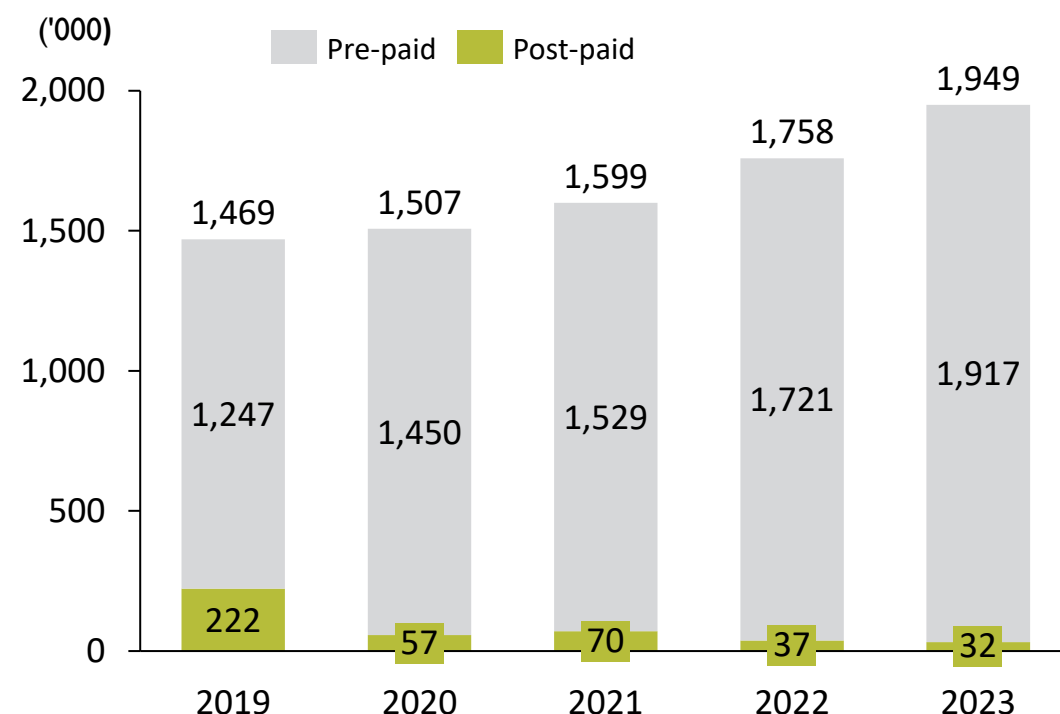
Customer Category	FY 2023 (GWh)	FY 2022 (GWh)	Growth %
Domestic	914	826	10.8%
Commercial	470	422	11.4%
Street Lighting	2	2	13.1%
Industrial – Medium	591	541	9.2%
Industrial - Large	1,184	1,047	13.1%
Industrial – Extra Large	1,058	1,012	4.5%
Total	4,219	3,849	9.6%

- Electricity sales growth registered across all consumer categories.
- Pointing to the new connections, loss reduction, system stability and macro economic factors.



Customer Grid Connections

Customer Numbers



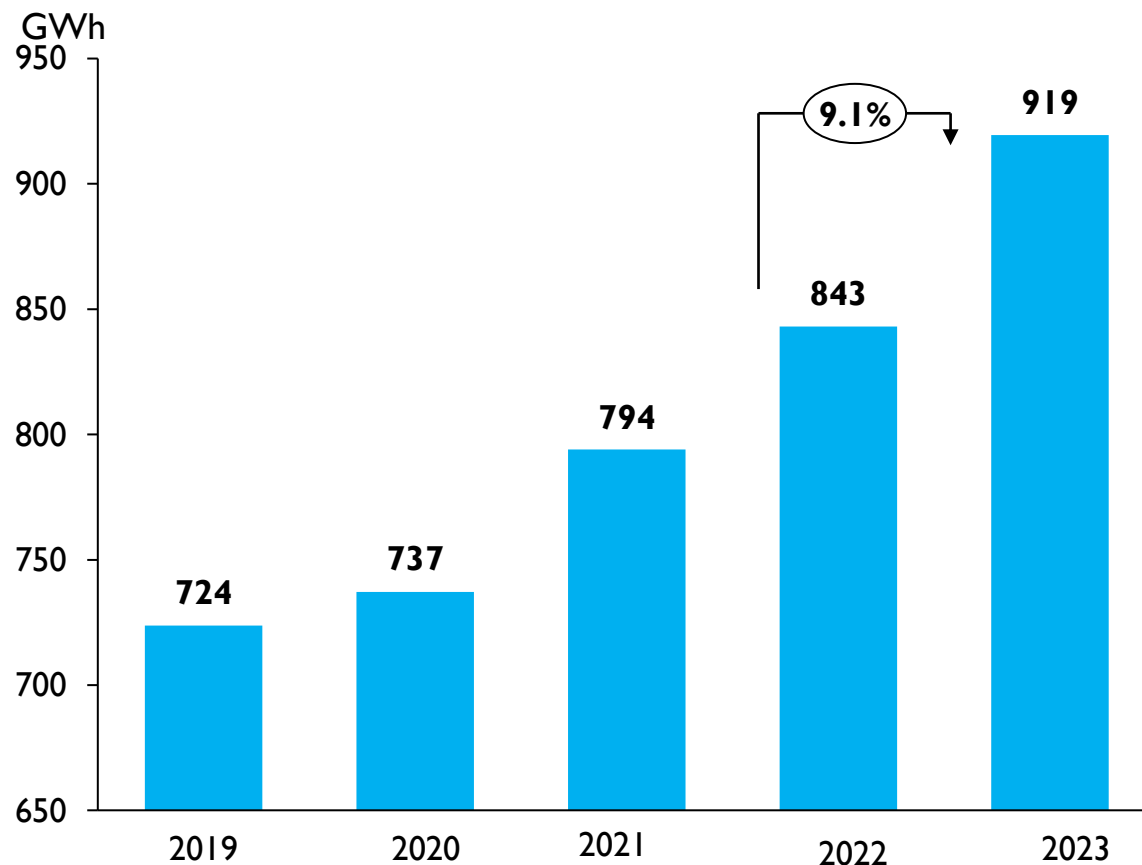
- 191,874 new connections made in 2023
- Supported by partnerships with government, ERA, AFD, UDB and other funded projects

Customer Numbers by Tariff

Customer Category	Number	%
Domestic	1,853,176	95.09%
Commercial	91,125	4.68%
Street Lighting	328	0.02%
Industrial – Medium	3,486	0.18%
Industrial - Large	679	0.03%
Industrial – Extra Large	49	0.00%
Total	1,948,843	

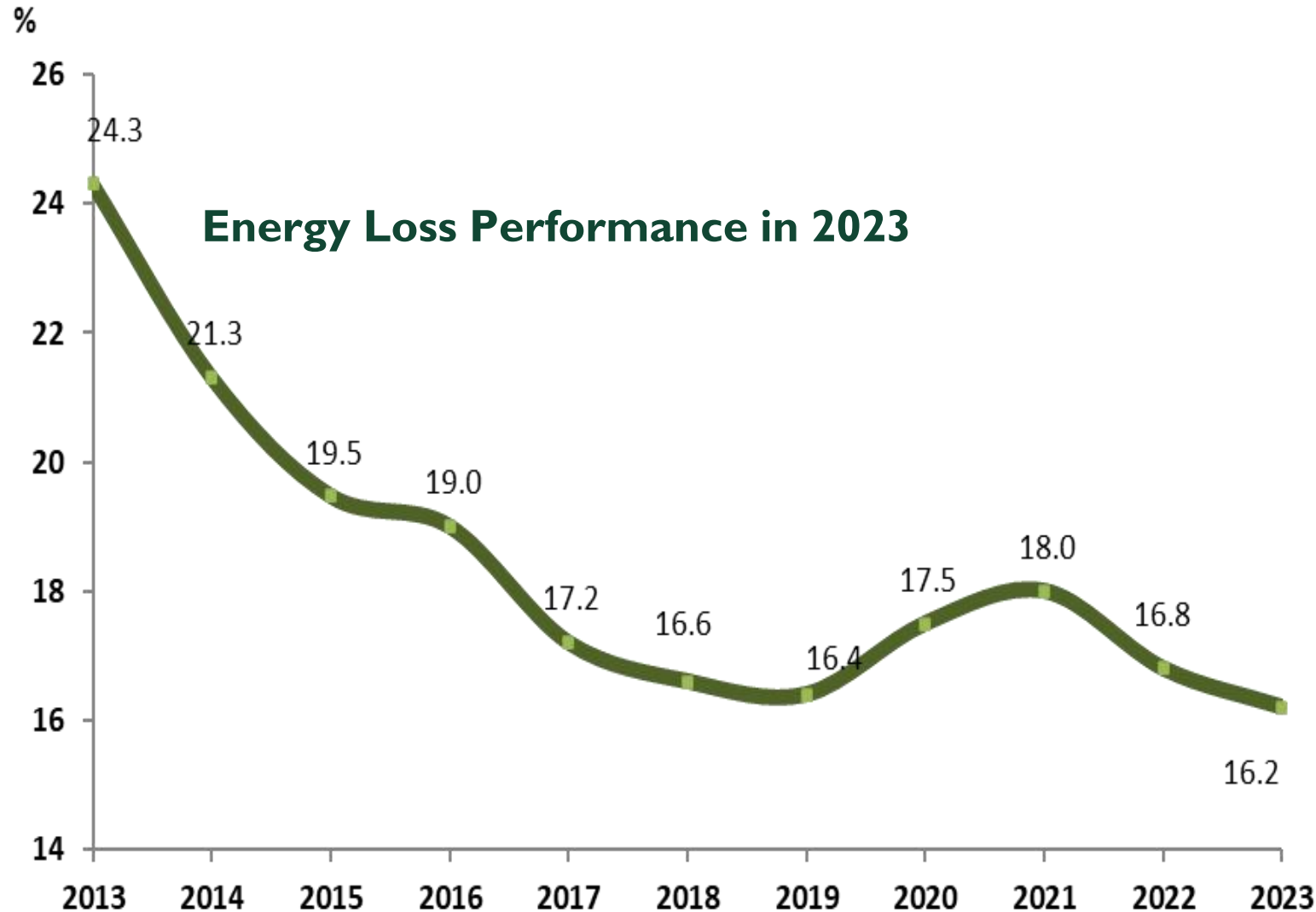
Growing Electricity Demand: Peak Demand

Maximum System Peak Demand



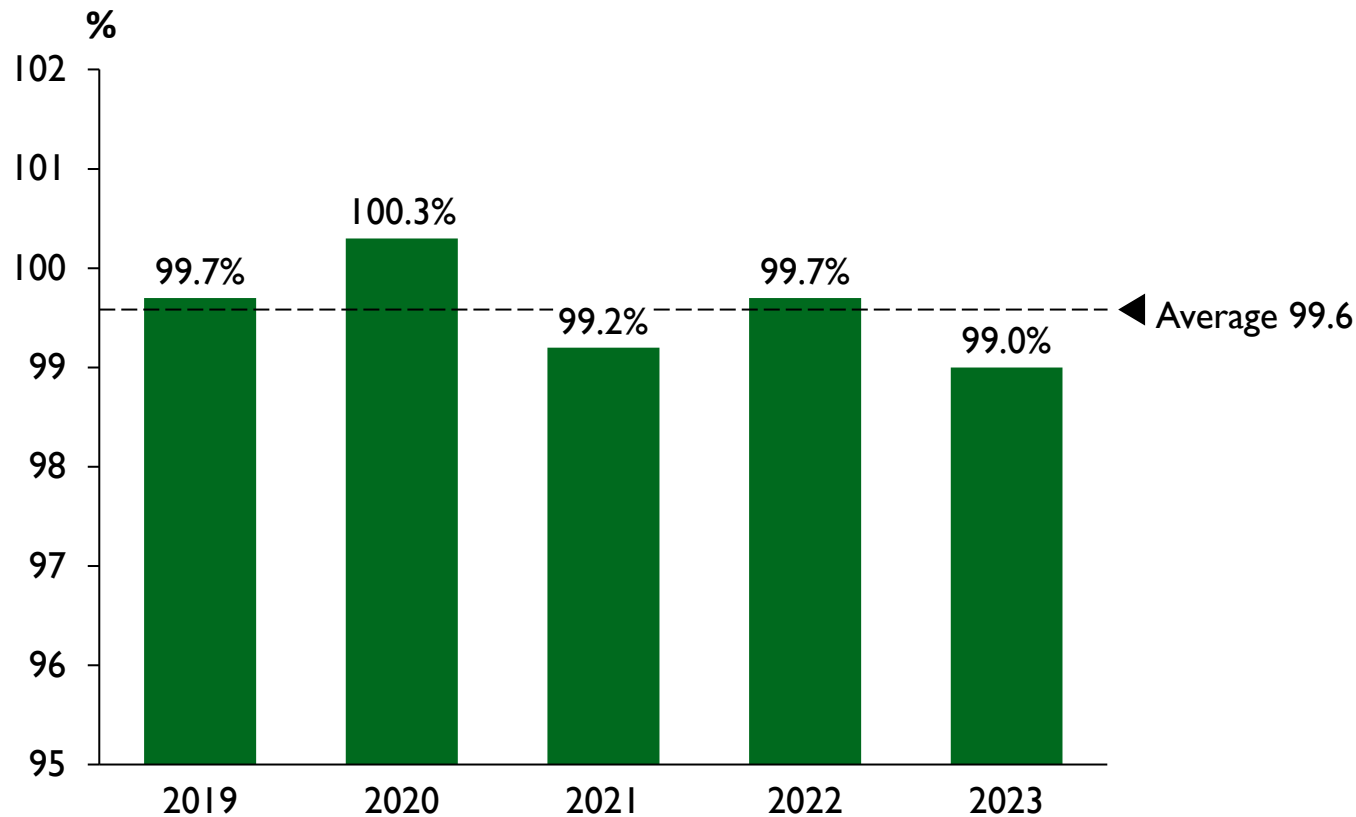
- Country Installed capacity is 1,847 MWh. At 70% Plant factor, effective generation is estimated at 1,293.
- Maximum system peak demand increased by 9% to 919 MW in 2023
- Maximum domestic peak demand increased by 10% to 868 MWh in 2023
- At current growth rate, keeping climate change factors constant given that about 83% of generation is from hydro sources, generation capacity may be constrained in 4 to 5 years, thus need to accelerate new projects.

Distribution Efficiency – Reducing Energy Losses



- Our strategy combines approach to technical and non-technical losses, with estimated split of 10% and 6.2% respectively.
- Loss-reduction positively impacted by enhanced field activities driven mainly by our insourcing strategy, new customer connections, improved supply reliability and our capital investments program.
- Value created to the sector estimated at US\$ 6m per 1%.
- From the 38% losses at the start of the concession to 16.2% in 2023, The value of the 21.8% movement is estimated at US\$ 131m in 2023 alone.
- Losses critical for financial sustainability of the sector

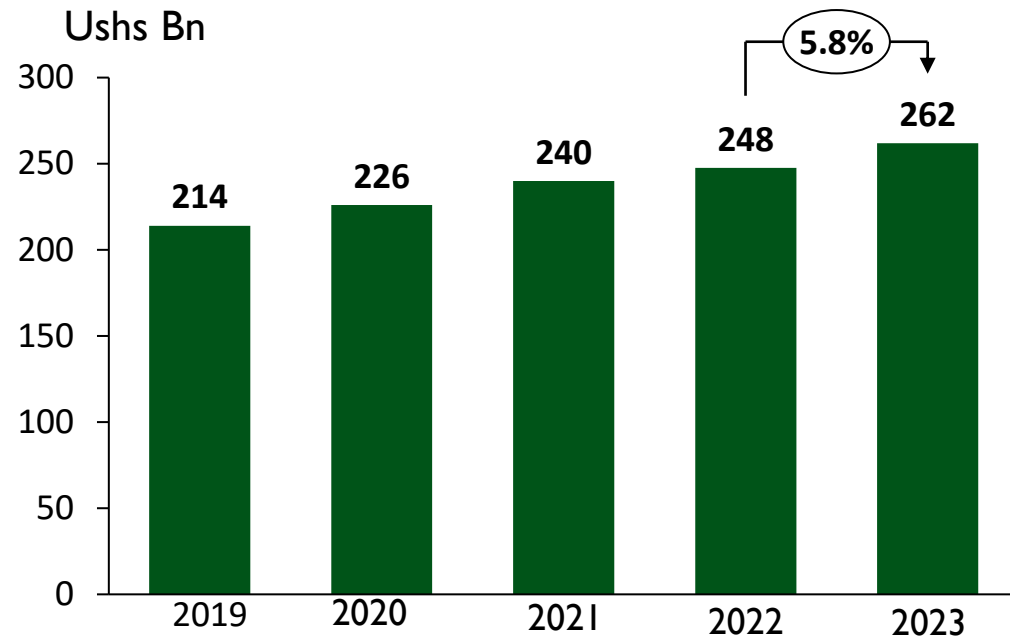
Distribution Efficiency - Revenue Collections



- Revenue collection rate was 99% consistent with the 10-year rate.
- Driven by an improved bill payment culture supported by multiple convenient 24/7 payment channels and Yaka Pre-paid metering system
- Implemented the debt collections project and roll out of Yaka to SMEs and remaining domestic customers
- The gap in collection attributed the lag in GoU entities collections of Ushs 57 billion (US\$ 15m) as of Dec 2023. Company has options in place to recover the Government arrears.
- Excluding Government, the collection rate was 100.7%, thus containing arrears growth.

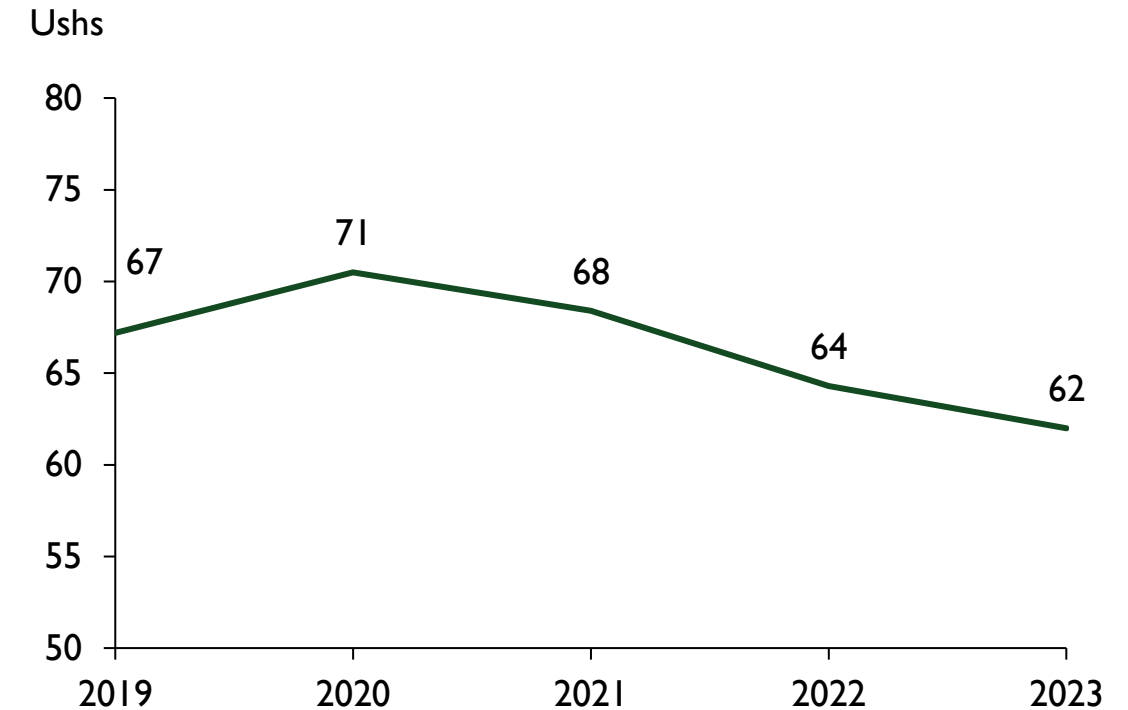
Driving Cost Efficiency

Operating Costs



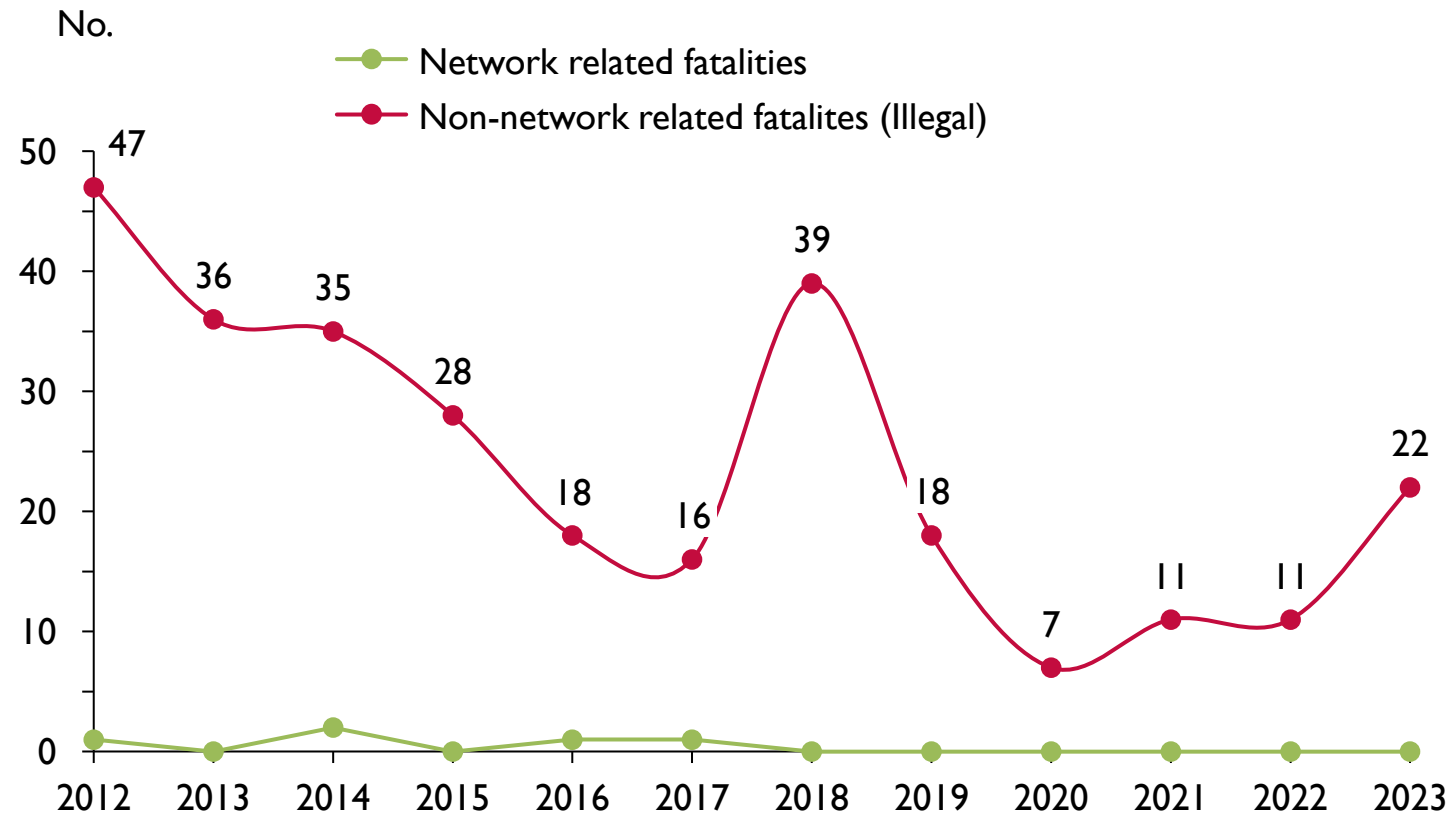
- Operating costs increased by 5.8% on account of general inflation and increased business operations. This was on the back of the 10% 2022 inflation and 2.6% 2023.
- Optimized supply chain and focused cost allocation to value driving levers like network performance, loss reduction, safety, service and collections

Opex per KWh



- Opex per KWh sold reduced by 3.3% while Opex per customer reduced by 5.0%

Safety – Our key Priority



- We recorded 22 fatal accidents
- Attributed mainly to unauthorized power usage, poor internal domestic wiring and network interference
- We continue conducting regular training for staff and conducting independent safety audits.

Umeme Initiatives to improve safety

- Public Awareness Campaigns on Radio, TV, public systems and digital channels
- Network maintenance and responsive service
- Staff training on SOR and safety systems
- Use of Technology to track network incidents and network management
- Rollout free connection schemes to deter power theft
- Safety Governance through ESG framework & Incentive schemes



Community sensitizations



Staff trainings

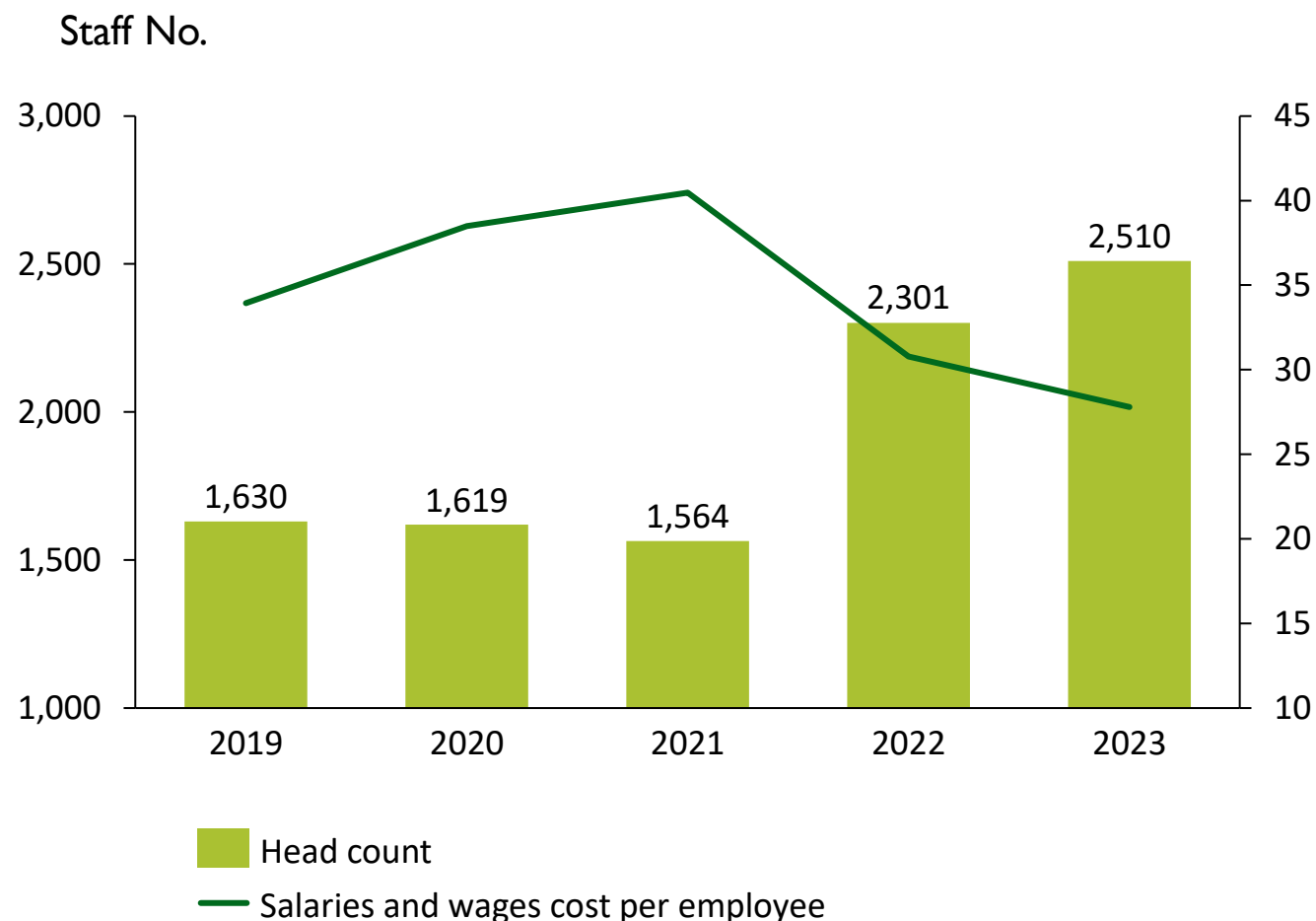


School out reaches



Our People

Headcount vs average cost per employee



- Head count stood at 2,510 staff at the end of 2023, due to the deliberate strategy of in sourcing previously outsourced services, for better business outcomes.
- Staff turnover of 4.2% which is below industry average of 10%
- Incentive schemes are in place to motivate staff to deliver the business objectives
- Investing in training and staff capacity development
- Investing technologies like: upgrade of contact center systems, upgrade of core ICT infrastructures, commercial and customer relationship management (CRM) systems to support business operations
- Staff engagement score of 93%, based on 2023 survey

Investing in the Network – US\$ 36.5m

Load growth projects

- Westbank switching station and integration lines
- Mbarara central substation upgrade
- Kisugu substation upgrade
- Portbell substation upgrade

Growth projects

- UETCL Entebbe Integration Line
- UETCL Luzira 33KV Line integration

Quality of supply

- Mbale City growth and quality of supply improvement
- Jinja industrial – Mutai line

Reliability Improvement

- Dedicated power supply to Entebbe and Kawempe Referral Hospitals

ICT

- UCIS and Call Manager





Construction of Hoima Substation

Financial Overview (\$m)

Income Statement	FY 2023	FY 2022	%ch
Revenue	588.7	511.0	15.2%
Cost of Sales	388.6	339.5	14.4%
Gross Profit	200.2	171.5	16.7%
Operating Expenses	70.2	67.0	4.8%
EBITDA	129.5	104.4	24.1%
Amortization	118.5	43.3	173.5%
Finance Costs (ex. lease)	12.0	12.3	-2.3%
PBT	5.1	61.4	-91.7%
Profit After Tax	4.1	43.4	-90.5%
Financial Position at	FY 2023	FY 2022	%ch
Total Assets	618.4	691.4	-10.6%
Shareholders Equity	247.6	271.6	-8.9%
Net Debt	12.8	69.5	-81.6%
Operating cashflow	130.0	95.1	36.7%

- Revenue increased to \$588m due to growth in electricity sales and underlying pricing.
- Gross profit increased to \$200.2m on account of an improved distribution margin, operational efficiencies, reduction in energy losses, increased new connections and supply reliability to customers.
- Profit after tax reduced to \$4.1 m compared to \$43.4 m due to recognition of a higher amortization charge.
- Net debt reduced 81% from FY2022 close.

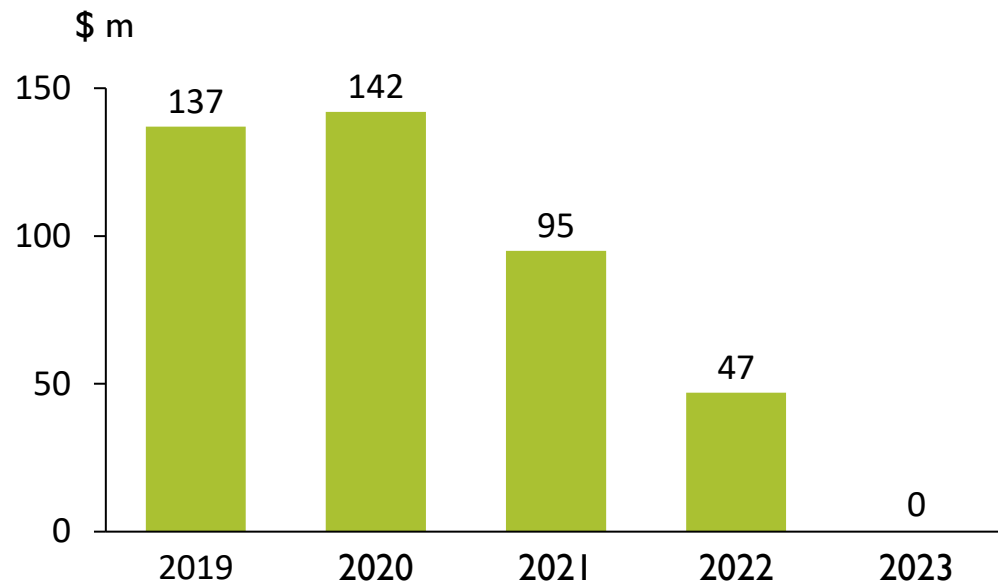
Financial Overview (UShs bn)

Income Statement	FY 2023	FY 2022	%ch
Revenue	2,196.4	1,887.3	16.4%
Cost of Sales	1,475.0	1,254.6	17.6%
Gross Profit	746.7	632.7	18.0%
Operating Expenses	261.9	247.5	5.8%
EBITDA	483.2	384.8	25.6%
Amortization	442.1	160.1	176.2%
Finance Costs (ex. lease)	44.8	45.4	-1.3%
PBT	15.4	214.9	-92.8%
Profit After Tax	11.7	148.2	-92.1%
Financial Position at	FY 2023	FY 2022	
Total Assets	2,342.1	2,571.1	-8.9%
Shareholders Equity	937.6	1,010.0	-7.2%
Net Debt	48.4	258.4	-81.3%
Operating cashflow	459.9	350.0	31.4%

- Revenue increased by 16.4% in 2023. The growth is attributed the increase in electricity demand, 5% increase in average tariff as determined by ERA, and revenues from the provision of electricity distribution construction services.
- Gross profit increased by 18% to 746.7 billion on account of an improved distribution margin and operational efficiencies
- Profit after tax reduced to Ushs 11.7 billion compared to Ushs 148.2 billion due to recognition of a higher amortization charge.
- Net debt reduced by 81% from FY2022 close

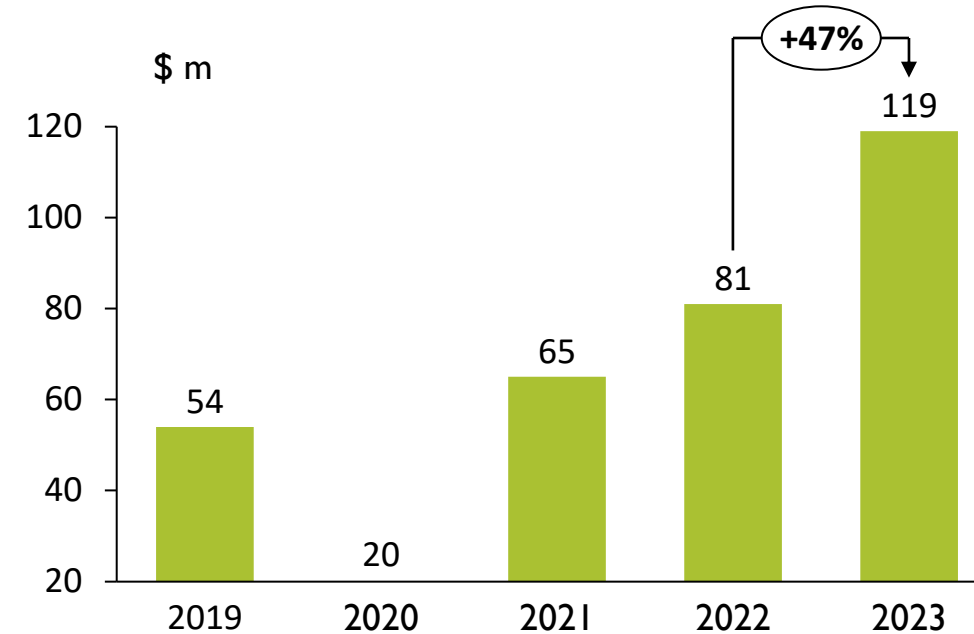
Capital Structure

Term Debt Outstanding (USD m)



- Term loans were fully repaid by the end of December 2023
- The company distributed dividends worth USD 28m to shareholders in the year

Free Cash Flow (USD m)



- Free Cash Flow increased 47% y/y
- Dividend payments to be aligned to cash generation
- Increased dividend payout ratio. Proposed final dividend Ushs 54.2 per share, total dividend of Ushs 78.2. Yield 19.6%

20th Year of the Concession

Buy Out Estimate

Buy out estimate \$339m estimate as at end of 2023.
The final outcome subject the level of investments over the remaining period and underlying capital recovery through the tariff.

Key to note:

- Focus is on compilation and readiness for the buyout audit and asset retransfer
- Coordinating with GoU entities on the assets retransfer process
- Governance around the process in place
- Noting the Key Risks to the business

Process for the Buyout Payment

- Delivery of the estimate of the buy out amount with supporting documentation to GOU not later than 90 days prior to the end of the term of the concession.
- Audit of the Buy Out statement by Auditor General or Designate
- Cash payment of buyout with a 5% return within 30 days of the end of the concession
- Beyond 30 days, interest charged on buy out amount as below:
 - 10% p.a. 30 – 45 days after concession termination date,
 - 15% p.a. 46 to 90 days after concession termination date,
 - 20% p.a. after 90 days until buyout is paid in full.

Umeme in the Community



- School Safety Clubs
- Health Camps
- Cure Run
- Office health clinics
- Safety and Stakeholder engagements
- Contribution to various CSIs

ESG - Environment



2024 Focus Areas



Safety & Service

Deliver on Safety
Focus on excellent service delivery through automation, responsiveness, reliability of supply and consumer awareness.



Connections

- Connect more customers through various financing schemes
- Pipeline of demand projections



Regulatory Targets

- Losses
- Collections
- Cost efficiency
- S- Factor
- Distribution Margin

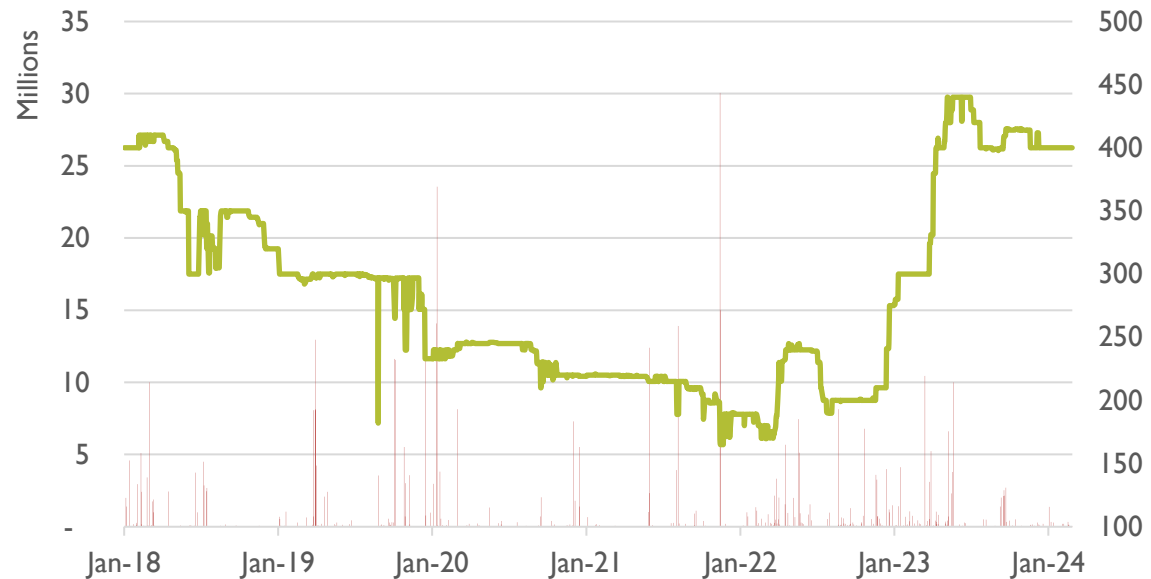


Transition Management and Protecting Shareholder Value

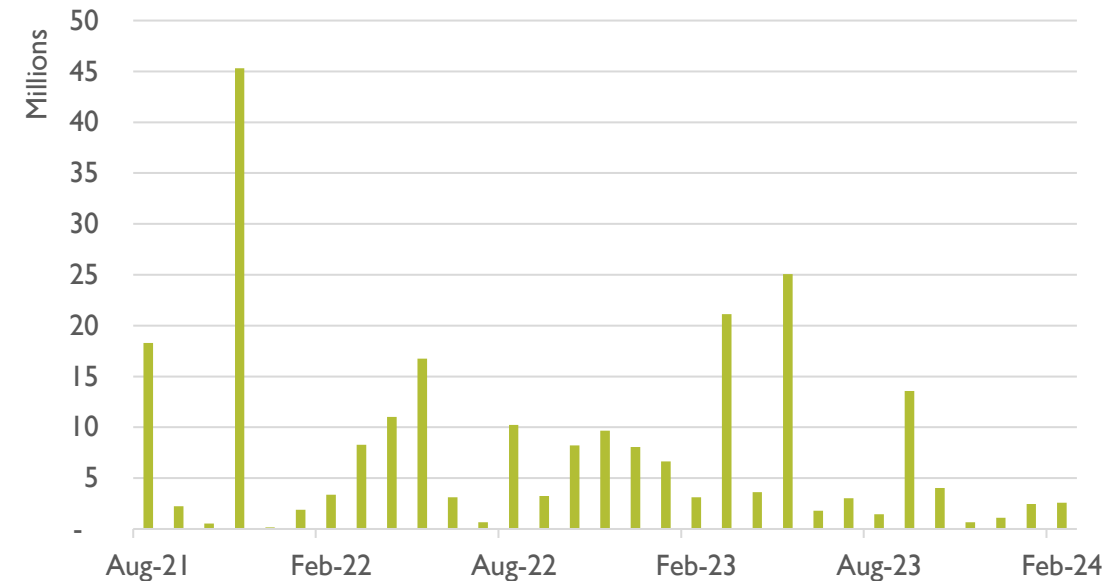
- Prudent Capital Allocation
- 2024 performance
- Secure Buyout Amount

Trading Update

Trading Performance (USE)



Total Monthly Volumes Traded



Shareholding Mix (December 2023)	%Held
Local Institutional & Retail	38.0%
East Africa Institutional & Retail	7.1%
Foreign Investors	53.8%
Directors & Employees	1.1%

	Multiple
EV/EBITDA	1.4x
Price /Buy-Out less Net Debt	0.5x
Dividend Yield	19.6%

Investor Relations Calendar



16th May 2024: Annual General Meeting for the year ended December 2023

28th June 2024: Dividend Book Closure Date

19th July 2024: Dividend Payment Date

Question & Answer